- Tobacco and tobacco products would be subject to GST. In addition, the Centre could continue to levy Central Excise duty.
- The threshold turnover limit for exemption from levy of GST is ₹ 20 lakh. For the Special Category States, it is ₹ 10 lakh.

Integrated GST (IGST)

It is levied on supplies in the course of inter-State trade or commerce. Such tax shall be levied and collected by the Government of India and thereafter shall be apportioned between the Union and the states in the manner as may be provided by Parliament by law on the recommendations of the Goods and Services Tax Council. Import of goods or services would be treated as interstate supplies and thus it would be subject to IGST in addition to applicable custom duties. The customs duty shall continue. The IGST replaces duties levied over and above customs duties like additional customs duty.

Compensation Cess on IGST

An additional tax on supply of specified goods such as luxury cars, aerated drinks, pan masala and tobacco products, is applicable, in the course of interstate trade or commerce. It shall be levied and collected by the Government of India for a period of five years or such other period as the Goods and Services Tax Council may recommend. The net proceeds of additional tax on supply of goods shall be assigned to the states from where the supply originates. This cess is called compensation cess.

FRBM Act 2003

[Fiscal Responsibility and Budget Management Act]

FRBM Act was enacted in 2003 with the purpose of correcting the fiscal imbalances like high revenue and fiscal deficit. Apart from provisions of the Act, FRBM rules were also framed to fix targets of